

| 1995 | TELECOM LICENSING BEGINS

The Call of Change

The licensing process was controversial, but the result is a revolution

One December morning back in 1994, Delhiites woke up, not to the ring of their mobile phones, but to loud hoardings. "From Ludhiana to Louisiana", from "Amritsar to Oslo", they screamed the arrival of cellphones in the city. By March 1995, even before the launch, the company in question, Bharti Airtel, had 7,000 customers on board. Which meant that people could talk to each other whenever they wanted, wherever they wanted. Even on the move. It all began in 1992, when as finance minister under P.V. Narasimha Rao, Manmohan Singh liberalised the

telecom sector. The idea was to increase telecom teledensity which was less than one phone per 1,000. Licences for the global system for mobile communications (GSM) services as well as value-added services were issued in the four metros and the private sector was asked to participate. Bharti, BPL, Essar, Hutchison Max Telecom, Modi Telstra, RPG Telecom, Skycell and Usha Martin won licences for cellular services in metros.

That year, the US Bank JP Morgan had estimated that 10 lakh Indians were keen on getting pagers, while another six lakh wanted mobile phones. In 1995, the early licensees began commercial services and by late 1995, the DOT as well as the IT and Communications ministry had issued close to 36 licences in another 19 circles for a licence fee of Rs 27,037 crore.

Eventually, only six companies adopted the licences. Himachal Futuristic Communication (HFCL) bid and won

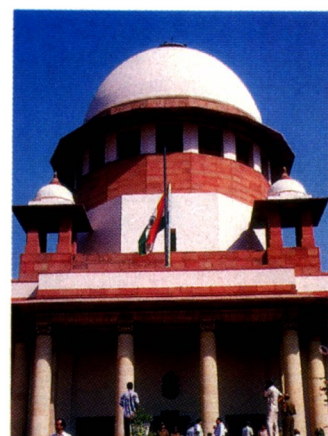
nine circles, but the ministry, unwilling to create a monopoly, changed the bidding rules and handed them three circles, leading other players to challenge DOT. The same year, the

Telecom Regulatory Authority of India (TRAI) was instituted as an independent regulator. When mobile telephony was finally launched, it was clearly not cheap. A handset cost between Rs 25,000-45,000, while the price of airtime could buy a small meal for one. The standard airtime charge was Rs 16.80 a minute in peak hours in addition to monthly rentals, an activation fee and security deposit. Plus, one had to pay for incoming calls. But owning a mobile phone became the ultimate status symbol and call centres shot into prominence. Elderly couples would weep over the phone as they didn't know how to switch them on, and would often think they had been cheated. Today 500 million Indians think otherwise. **by Nandini Vaish**

THE MAIN EVENT

Doctors Accountable for Negligence

A three-judge bench of the Supreme Court ruled that doctors were like any other provider of services under contract and therefore, are under the same obligation to compensate the purchaser for any deficiency in the quality of their wares. A doctor who fails to do what is required of him in his professional capacity, or who does something that a reasonable person under the circumstances would not do, is said to have acted negligently. Of course, in diagnosing or treating a patient, no doctor guarantees perfect judgement. The judgment has already had a salutary effect on doctors across the country. But the sheer scale of disregard for human life that most Indians are compelled to suffer in the name of medical service will require a more drastic remedy. *India Today, December 15, 1995*



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ALSO

- Drug czar Iqbal Memon, better known as Iqbal Mirchi, is arrested in the UK
- The first non-Congress prime minister, Morarji Desai, passes away
- The Delhi Metro Rail Corporation (DMRC) is founded

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